

To say nothing of museums' back catalogs. Curators have amassed a massive set of holdings, most in storage. The permanent collection at the Met in New York City is over 1.5 million artworks (about 50× what is on display). Not far away, the Museum of Modern Art has almost 200,000 modern works in storage. Most of these won't fetch nine (or eight or even seven) figures at auction.

Other luxury items attract similar attention from time to time. Watches, fine wine, and classic automobiles all vie for investor attention. It is human nature to look at big winners after the fact, while failing to think about the impact of the losers.

What we see matters less than what is not visible to us.

The media deserves some blame for this. A weak fourth quarter in 2018 (off ~20%) led *The Wall Street Journal* to claim wine, art, classic cars, and exotic-colored diamonds did better than stocks that year.^{[146](#)}

Not exactly.

By only including the big splashy auctions while ignoring the rest of the wine, jewelry, art, and car markets, we get a distorted sense of performance.

Author and investment advisor William J. Bernstein makes the point that much of the appreciation in art and other collectibles is really just a lesson in the magic of compounding.^{[147](#)} He calculated that a painting of one of the Old Masters bought from the artist for the equivalent of \$100 and sold 350 years later for hundreds of millions of dollars returned just 3.3% annually. "If you save and you have even a modest rate of return over hundreds of years, then you'll have a fabulous amount of money" he said on our Masters in Business podcast in April 2019.

Selecting those appreciated artworks *after the fact* is easy. But consider this challenge: What work of art are you willing to buy today and hold for the next 50 years?

Tough question! It reveals just how difficult investing in collectible assets